AUDIT AND ASSURANCE

Suggested Answers
March-April 2025

Answer to the Question# 1(a):

Ethical matters and suitable safeguards:

Ethical matter	Safeguard
1 Recent employment with assurance client – the audit senior worked for MGMCL Plc.. until he recently resigned and joined Rose & Associate. Being assigned as Audit Senior to a company recently worked for will result in a self-review and familiarity threats. This will impact on the independence and objectivity of the Audit Senior.	Someone else should be appointed Audit Senior and not someone who until recently worked for MGMCL Plc..
2 Partner on client board – the Senior Partner of Rojina & Razzak, Chartered Accountants being a member of the board of MGMCL Plc.. will impact on the objectivity of the senior Partner and it creates a self-interest threat.	The Senior Partner should resign from the board of MGMCL Plc..
3 Over-reliance on a client – Guidance provides that audit firms should not rely on one client for most of its fee income because this will result in a self-interest threat and affect the objectivity of the firm which does not want to lose such a client. A bench mark of 15% is set and the fee income expected from MGMCL Plc.. will amount to 16% of the total fee income.	The firm should reduce this reliance or quality control reviews of the working papers for the audit of MGMCL Plc.. by someone who was not part of the assurance team.
4 MGMCL Plc.. will be the first mining client of Rojina & Razzak, Chartered Accountants. There is a chance that the firm does not have the resources with the necessary skills and competences to conduct a quality audit. This is contrary to the ethical principles of professional competence and due care.	The firm should train its staff in key areas of auditing mines and also consider to use the services of an auditor expert.
5 Rojina & Razzak, Chartered Accountants accepted appointment and commenced conducting the audit before obtaining the necessary written representations from management acknowledging its responsibilities for the preparation of the financial statements and putting in place internal control.	Rojina & Razzak, Chartered Accountants should regularize their appointment and get the necessary representations. If management does not provide these representations the firm should consider resigning from the engagement.

Answer to the Question# 1(b):

Pre-conditions before accepting an audit appointment:

1. The use of the applicable financial reporting framework in the preparation of the financial statements by management. For example, MGMCL Plc.. is in the mining industry, the company is expected to use the financial reporting framework applicable to the mining industry.
2. The acknowledgement of management regarding its responsibilities as follows:
   - Management's responsibility for the preparation of the financial statements according to the applicable financial reporting framework.
   - Putting in place internal controls necessary to enable the preparation of financial statements that are free from material misstatements and
   - That management will provide the auditor with the information they require to conduct the audit and that the auditors will access to all information that management is aware of used in the preparation of the financial statements. That there shall be unrestricted access to staff if the entity whom the auditors determine is necessary to obtain the necessary audit evidence.

Answer to the Question# 1(c) (i):

Why limited assurance not appropriate for an audit.

Listed companies are public interest entities and they are required to have their financial statements audited annually by statutory auditors.

Reviews are alternatives to audits and are usually done on interim financial statements or requested by entities not required to undergo audits. Reviews are not appropriate in the case of MGMCL Plc.. for the following reasons:

1. Having a review of the financial statements of MGMCL Plc.. would be against the listing requirements which require an audit to be conducted.
2. Reviews are a lower level of assurance. The shareholders and other stakeholders require a high level of assurance on how management fulfilled its role as stewards on behalf of the shareholders.
3. The work performed in a review is limited to inquiries and analytical procedures thereby making the risk that an inappropriate conclusion high.
4. The report issued in a review is in negative form suggesting that something that may cause material misstatements may be present but it has not come to the attention of the auditors.
5. Most regulatory frameworks require audits to be conducted on financial statements of listed companies and conducting a review would be contrary to legal requirements.

Answer to the Question# 1(c) (ii):

Reasons why auditors cannot give absolute assurance:

1. Audits are not always objective and they involve judgment and so cannot be absolute.
2. The fact that the accounting and internal control systems on which auditors may place a degree of reliance also have inherent limitations.
3. Financial statements contain accounting estimates which require judgment so there is no precise way of determining such accounting estimates.
4. Auditors do not test all transactions and balances in the financial statements and there is a risk that undetected misstatements do exist.
5. Internal controls put in place by management to prevent and help detect fraud and error may fail resulting in the existence of uncorrected misstatements.
6. Audit reports are issued sometime after the period end and the position at the period end is likely to be different to that at the time of issuing the audit report.

Answer to the Question# 2(a) (i):

Taxation services

Many audit firms prepare tax computations for their client companies and this should not normally compromise independence.

Where taxation services are provided to the company, a conflict of interest could arise in dealing with the tax affairs of the directors (eg, if any of the directors are also shareholders, they may have preferences as to dividends or bonuses, which are not in the best interests of the company's tax or cash flow position).

There may also be independence issues in relation to tax advisory work. For example, the firm may have difficulty in giving an independent view on the acceptability of a scheme to the Revenue or Customs and Excise if the firm designed the scheme itself in the first place.

Accountancy services

For many audit clients it is common to provide a range of accountancy services including participation in the preparation of accounting records. For listed or other public interest clients, an audit firm should not participate in the preparation of the company's accounts and accounting records.

Preparing periodic management accounts may draw the auditor, inadvertently, into performing management functions.

Management consultancy

An auditor's independence may be compromised if a course of action is recommended to an audit client. For example, if the auditor advises on a new computer system which is then found to be unreliable, the auditor may be reluctant to report the weaknesses to management.

As a safeguard, auditors should lay the facts before the directors and let them make the decision. It is important that the auditor is not seen to be acting as part of the management function.

The additional guidance on best practice has also now provided that services involving the design and implementation of financial information technology systems (FITS) should not be provided unless:

- management accept overall responsibility in writing;
- management do not rely on the FITS work as the primary basis for determining the adequacy of internal controls and financial reporting systems; and
- the design specifications are set by management.

Answer to the Question# 2(a) (ii):

As a safeguard, a tax manager (or partner) independent of the audit function should be assigned to deal with individual director's tax affairs.

Safeguards for non-listed companies include the following:

- The client accepting responsibility for the records as its own
- The auditor not assuming an operational role
- Conducting appropriate audit tests on records processed/maintained by the auditor

In any case separate engagement teams are likely to be necessary to mitigate the potential threat to independence.

Answer to the Question# 2(b) (i):

Informing the client

- Report to appropriate level of management
- If believed that management or employees with significant roles in internal controls are involved or fraud results in material misstatements report to those charged with governance
- If integrity/honesty of management or those charged with the governance is in doubt, seek legal advice

Answer to the Question# 2(b) (ii):

Audit report

- If error is corrected, there is no need to qualify
- If correction is not made, then report should be appropriately qualified
- If outcome of fraud is uncertain, then a significant uncertainty should be included
- If outcome can be determined and amount is not adjusted in the financial statement, the report should carry qualification with except for/disagreement

Answer to the Question# 2(c):

IESBA Codes of Ethics prescribes five different types of threats as follows:

Self-interest threat: the threat that a financial or other interest will inappropriately influence the professional accountant's judgment or behavior.

Self-review threat: the threat that a professional accountant will not appropriately evaluate the results of a previous judgment made or service performed by the professional accountant or by another individual within the firm or employing organization, on which the accountant will rely when forming a judgment as part of providing a current service.

Advocacy threat: the threat that a professional accountant will promote a client's or employer's position to the point that the professional accountant's objectivity is compromised.

Familiarity threat: the threat that due to a long or close relationship with a client or employer, a professional accountant will be too sympathetic to their interests or too accepting of their work.

Intimidation threat: the threat that a professional accountant will be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence over the professional accountant.

Answer to the Question# 2(d):

Safeguards are actions or other measures that may eliminate threats or reduce them to an acceptable level. They fall into two broad categories:

- Safeguards created by the profession, legislation or regulation; and
- Safeguards in the work environment

Safeguards created by the profession, legislation or regulation

- Educational, training and experience requirements for entry into the profession
- Continuing professional development requirements.
- Corporate governance regulations
- Professional standards
- Professional or regulatory monitoring and disciplinary procedures
- External review by a legally empowered third party of the reports, returns, communications or information produced by a professional accountant.

Safeguards in the work environment

- The overall control environment at the firm which ensures a professional approach towards professional issues.
- Segregation of duties between those engaged on audits and non-audit services.
- Rotation of engagement partners and staff.
- Involving an additional professional to review the work done or otherwise advise as necessary.
- Procedures for evaluating the integrity of potential new clients.
- The formal process of reviewing the appropriateness of the firm's continuing in office before its name is allowed to go forward for reappointment.
- Staff recruitment procedures.
- Regular completion of 'fit and proper' and independence declarations of partners and staff.
- Staff training, development and performance appraisal.
- Monitoring and evidencing the firm's own systems

Answer to the Question# 3(a):

Factors which influence the reliability of audit evidence

1. Evidence obtained from independent sources is more reliable.
2. Internally generated evidence more reliable when the controls are effective.
3. Evidence obtained directly by the auditor is more reliable than evidence obtained others.
4. Evidence in documentary form is more reliable than evidence obtained orally.
5. Evidence provided by original documents is more reliable than evidence provided by photocopies.

Answer to the Question# 3(b) (i):

Control activities and suitable control activities:

	Control activity	Test of control

1.	There should be segregation of duties between Chief Cashier and the person responsible for petty cash.	Observe that there is the necessary segregation of duties.
2.	Petty cash should be kept separately from the sales proceeds. Possibly a separate cash box should be used for petty cash.	Confirm by observation that petty cash is kept separately and not mixed with sales proceeds.
3.	Petty cash vouchers should be prenumbered or numbered using a numbering machine when used as a control.	Confirm through inspection that the petty cash vouchers are numbered.
4.	Petty cash vouchers must be authorized by a responsible official and not only signed by the recipients of the money.	For a sample of petty cash vouchers confirm through inspection that they have been authorized appropriately.
5.	Petty cash should be counted by a responsible official and the amount agreed with the balance in the petty cash book. The counting should be evidenced in writing (signed).	Inspect evidence of petty cash counts and confirm they are evidenced in writing by inspecting the petty cash count records.
6.	Petty cash reimbursement should be authorized by a responsible official who should check the supporting documents and agree the re-imbursement amount to the value of the supporting petty cash vouchers.	For a sample of reimbursements made during the period, confirm by inspection that they have been duly authorized by a responsible official.
7.	The supporting documents to all petty cash payments should be stamped with a PAID stamp to avoid the same documents being used fraudulently.	For a sample of payments out of petty cash, inspect and confirm the supporting documents have been duly stamped with a PAID stamp

Answer to the Question# 3(b) (ii):

Substantive audit procedures for accounts payables:

	Substantive audit procedures	Related assertion
1	Cast the schedule of accounts payable for arithmetic accuracy.	Accuracy
2	Confirm that the total on the receivables schedule agrees with the balance on payables control account	Completeness
3	For a sample of payables transactions inspect the supporting documents and confirm relate to goods or services received in the period.	Cut off
4	Review supplier reconciliations for a sample of accounts payables	Accuracy and rights and obligations
5	Select a sample of payables and perform a third party confirmation if reconciliations not adequate to provide the necessary assurance.	Rights and obligations, completeness, cut off and accuracy.
6	For a sample of payables confirm post year payments made to balances at the period end.	Accuracy

Answer to the Question# 3(b) (iii):

Substantive audit procedures for accruals:

1. Determine the make-up of the accrual between water and electricity.
2. Inquire from management on the basis of determining the accrual amounts- review assumption used for reasonableness
3. Examine prior year accruals and compare with actual payments to assess management's ability to make accruals.
4. Examine post year payment for related amount and make adjustments if necessary.
5. Obtain written representations from management concerning the accruals made.

Answer to the Question# 4(a):

The factors are:

- The approach that has been taken in previous years
- Whether a substantive approach would be more effective

- The results of walk-through tests on the systems
- The results of preliminary evaluations of the effectiveness of the controls
- Improvements made to the system of control

Answer to the Question# 4(b):

The main consideration which concerns the audit of all group accounts is that the parent company's auditors are responsible to the shareholders and other stakeholders of that company for the audit opinion on the whole of the group financial statements.

It may be stated that the financial statements of certain components have been audited by other firms, but this does not absolve the parent company auditors from any of the responsibilities.

Th auditors of a parent company have to report to its members on the truth and fairness of the view given by financial statements of the company and its components dealt with in the group financial statements. The auditor should have powers to obtain such information and explanations as they reasonably require from the components and their auditors, or from the parent company in the case of overseas components, in order that they can discharge their responsibilities as parent company auditors.

The International Standards on Auditing (ISA) 600 clarifies how the group engagement team can carry out a review of the audits of components in order to satisfy themselves that, with the inclusion of figures not audited by themselves, the group financial statements give a true and fair view.

The scope, standard and independence of the work carried out by the auditors of components are the most important matters which need to be examined by the group engagement team before relying on financial statements not audited by them. The group engagement team needs to be satisfied that all material areas of the financial statements of components have been audited satisfactorily and, in a manner, compatible with that of the group engagement team's requirements.

Work to be carried out by the group engagement team in reviewing the component auditors' work:

(a) Before commencing the audit, the group engagement team needs to provide instructions to the component auditor in the form of an engagement letter which should include the following matters relating to planning the audit work:

- Confirmation that the component auditor will cooperate with the group engagement team
- Time table for completing the audit
- Dates of planned visits
- Key contacts and underlying ethical requirements
- Component materiality level and details of related parties
- Guidance on statutory reporting responsibilities
- Specific instructions for a subsequent events review where required

(b) Carry out detailed review of the component auditors' working papers on each component whose results materially affect the view given by the group financial statements. This review will enable the group engagement team to ascertain whether:

- An up-to-date permanent file exists with details of the nature of the component's business, its staff organisation, its accounting records, previous year's financial statements and copies of important legal documents.
- The system examination has been properly completed, documented and reported on to management after discussion.
- Test of controls and substantive procedures have been properly and appropriately carried out, and audit programs properly completed and signed.
- All other work papers are comprehensive and explicit.
- The overall review of the financial statements has been adequately carried out, and adequate use of analytical procedures has been undertaken throughout the audit.
- Minutes of board and general meetings have been scrutinized and important matters noted.
- The audit work has been carried out in accordance with the approved auditing standards.

- Adequate audit evidence has been obtained to form a basis for the audit opinion on both the components' financial statements and those of the group.

If the group engagement team are not satisfied from the above review, they should arrange for further audit work to be carried out by the component auditors on their behalf, or jointly with them. The component auditors are fully responsible for their own work; any additional tests are required for the purpose of the audit of the group financial statements.

Answer to the Question# 4(c):

The required audit approach would include:

- Review the requirements of the appropriate financial reporting framework for allowances for receivables.
- Discuss with management how the allowance has been calculated.
- Obtain a breakdown of the allowance, agree balances to the receivables ledger and reperform calculations.
- Compare actual receivables written off in prior periods with previous estimates.
- Ascertain who is responsible for reviewing and approving the allowance.
- Obtain an aged listing of receivables as at the reporting date and identify overdue amounts and review correspondence relating to these accounts and arrive at an independent estimate of the allowance required.
- Compare this with management's estimate.
- Review cash received from customers after the reporting date up to date of the auditor's report to identify whether any receivables balances that appeared to be doubtful subsequently been settled.

Answer to the Question# 5(a) (i) & (ii):

Risks and audit implications:

<table>
<tr><th>a) Risks</th><th>b) Audit implications</th></tr>
<tr><td>Civil liabilities to victims</td><td>Possibility of:</td></tr>
<tr><td>Statutory fines and penalties</td><td rowspan="3">• Unrecorded liabilities
• Impairment of property, plant and equipment</td></tr>
<tr><td>Increased insurance premiums</td></tr>
<tr><td>Loss of reputation</td></tr>
<tr><td>Forced closure</td><td>Going concern doubts</td></tr>
</table>

Answer to the Question# 5(b):

- The Tk.1 that turns a profit into a loss might be considered very important by some companies/ shareholders.
- The Tk.1 that changes the thresholds the company operates in (for example, becoming a medium- sized rather than small company) might also be very important.
- Some matters are automatically material, such as matters relating to directors, or related parties because these matters have to be disclosed in financial statements regardless of their value.

Answer to the Question# 5(c) (i):

If you understand a client's business properly you will:

- be able to assess the skills and competence which the audit team needs
- be able to plan your audit work so that it is appropriate and efficient
- be able to assess what controls have been put in place by the client which may reduce the level of control risk
- be able to assess any significant risks which need special attention
- be able to perform analytical procedures
- comply with professional requirements

Answer to the Question# 5(c) (ii):

- **Understanding of the client's business can be obtained from:**
  - External sources of information (such as industry surveys/publications)

  - The firm (permanent files including previous years' audited financial statements), correspondence files, personnel associated with the engagement in previous years)
  - The client (personnel, correspondence/procedures manuals, watching procedures, current year management accounts)
- Auditors are required to carry out a combination of procedures to understand the business:
  - Inquiries of client personnel
  - Analytical procedures
  - Observation and inspection

It is important to understand where the information comes from.

Answer to the Question# 6(a):

As per International Standards on Auditing-570 (revised): Going Concern, the reporting responsibilities of auditors at different situations are as follows:

Going concern basis of accounting is appropriate and no material uncertainty exists:

- Even when no material uncertainty exists, the auditor needs to evaluate whether in the view of the requirements of the applicable financial reporting framework there is adequate disclosure.
- When ISA-701 applies, the auditor may consider certain events or conditions related to going concern to be determined as Key Audit Matters.

Going concern basis of accounting is appropriate but material uncertainty exists:

- An unmodified opinion is issued when adequate disclosure is made in the financial statements. The auditors' report includes a separate section-"Material Uncertainty Related to Going Concern" when adequate disclosure is made. No emphasis of matter, unless required by law or national regulation/standards.
- Qualified or Adverse opinion if adequate disclosure is not made in the financial statements or in cases when management is unwilling to extend its assessment when requested to do so by the auditor.
- Disclaimer of opinion is considered in rare situations involving multiple uncertainties that are significant to the financial statements as a whole.

Going concern basis of accounting is not appropriate:

- Adverse opinion if management's use of the going concern basis of accounting in the preparation of the financial statements is inappropriate. In these circumstances, another basis (liquidation /break up basis) is deemed appropriate and it is irrelevant if appropriate disclosures are made regarding the inappropriateness of management's use of the going concern basis of accounting.

However, if our audit team believes that management plans and other factors need to be disclosed and if adequate disclosure is not made, on the grounds of non-disclosure a qualified or adverse report will be issued. Assume that at year end current liabilities exceed current assets. The auditor only concludes, on the basis of subsequent events, that it was only temporary phase, and therefore in his judgement, the going concern assumption was appropriate.

Answer to the Question# 6(b):

Audit procedures on Going concern

1. Discuss with management the basis for their going concern review/assessment
2. Review the cash flow forecast and review the cash in and outflows.
3. Assess the assumptions for reasonableness and discuss the findings with management.
4. Review post year-end correspondence with suppliers to identify if any others have threatened legal action or refused to supply goods.
5. Evaluate management's plans for future actions, including their contingency plans.
6. Enquire of the lawyers of Chamelibag Ltd. as to the existence of any additional litigation.
7. Review recent financial statements to assess it profitability and debt position.
8. Review the approved budgets and future plans of the company.
9. Discuss with management if they have other sources of finances or guarantor(s).
10. Review the recent management accounts and obtain management representations.

Answer to the Question# 6(c) (i):

Basis for Qualified Opinion:
We have conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors Responsibilities for the Audit of the Financial Statements section of our report. During the course of our audit it has been observed that a material amount of research expenditure which had been capitalized as an intangible asset in contravention of IAS-38 Intangible Assets.

Answer to the Question# 6(c) (ii):

Emphasis of matter paragraph:
In the forming of our opinion on the financial statements, which is not qualified, we have considered the adequacy of the disclosures made in note x to the financial statements concerning the possible outcome of a lawsuit, alleging infringement of certain patent rights and claiming counter action, and preliminary hearings and discovery proceedings on both actions are in CHAPTER royalties and punitive damages, where the company is the defendant. The company has filed a progress. The ultimate outcome of the matter cannot presently be determined, and no provision for any liability that may result has been made in the financial statements. Our opinion is not modified in respect of this matter.

Answer to the Question# 6(c) (iii):

Key audit matters:
Except for the matter described in the basis for Qualified Opinion, we have determined that there are no key audit matters to communicate in our report.

---The End---